13. Income Taxes

The income tax benefit for 2009 was a federal refundable credit of $15,000. The American Recovery and Reinvestment Act of 2009 allowed corporations without current tax liabilities to obtain refunds for certain research tax credit and alternative minimum tax credit carryforwards by electing to forego the 50% additional first year depreciation for new property acquired after June 30, 2008 and placed in service before January 1, 2010. This Act extended the provisions of the Housing Assistance Tax Act of 2008 (H.R. 3221) which was set to expire for assets placed in service before January 1, 2009. For tax year 2009, the Company elected to a obtain refund for a portion of its research and development tax credit carryforwards from taxable years before January 1, 2006.

A reconciliation of the expected income tax benefit computed using the federal statutory income tax rate to the Company's effective income tax rate is as follows:

	Year Ended December 31		
	2011	2010	2009
Income tax computed at federal statutory tax rate	34.0%	34.0%	34.0%
State taxes, net of federal benefit	6.1	9.0	7.0
Stock-based compensation	(1.4)	(4.2)	(1.5)
Research and development credits	2.6	6.3	3.4
Change in valuation allowance	(40.5)	(49.7)	(42.6)
Government grant credit	—	4.5	—
Other	(0.8)	0.1	(0.2)
Total	0.0%	0.0%	0.1%

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13. Income Taxes (Continued)

Significant components of the Company's deferred tax assets for federal and state income taxes were as follows (in thousands):

	December 31	
	2011	2010
Deferred tax assets:		
Federal and state net operating losses	$ 56,621	$ 38,046
Federal and state research and development credit carryforwards	6,893	5,290
Deferred revenues	923	2,191
Stock-based compensation	2,417	1,777
Other	1,481	1,593
Total deferred tax assets	68,335	48,897
Valuation allowance	(68,335)	(48,897)
Net deferred tax assets	$ —	$ —

Due to the Company's lack of earnings history, the deferred assets have been fully offset by a valuation allowance as of December 31, 2011 and 2010. The increase in the valuation allowance on the deferred tax assets was $19.4 million, $5.1 million and $10.6 million for 2011, 2010 and 2009, respectively.

As of December 31, 2011, the Company had net operating loss carryforwards for federal and state income tax purposes of approximately $142.1 million and $142.2 million, respectively. These federal and state carryforwards will begin to expire in the years 2021 and 2013, respectively. Approximately $0.2 million of the net operating loss carryforwards relates to stock option deductions, the

benefit of which will be credited to additional paid in capital in the year such losses are utilized. The Company also had federal research and development tax credit carryforwards of approximately $6.2 million, which expire beginning in 2024 if not utilized. In addition, state research and development tax credit carryforwards of approximately $3.7 million will carry over indefinitely.

Internal Revenue Code Section 382 places a limitation (the Section 382 Limitation) on the amount of taxable income, that can be offset by net operating loss carryforwards after a change in control (generally, a greater than 50% change in ownership). Typically, after a control change, a company cannot deduct operating loss carryforwards in excess of the Section 382 Limitation. Due to these changes in ownership provisions, utilization of the net operating loss and tax credit carryforwards may be subject to an annual limitation regarding their utilization against taxable income in future periods. The Company has determined that a change in control, as defined by Internal Revenue Code Section 382, occurred in December 2010. However, the computed Section 382 Limitation is not expected to prevent the Company from utilizing its net operating losses prior to their expiration if the Company can generate sufficient taxable income to do so in the future.

The Company adopted the provisions of the standard for accounting for uncertainties in income taxes on January 1, 2007. Upon adoption, the Company recognized no material adjustment in the liability for unrecognized tax benefits. As of December 31, 2011 and 2010, the Company had approximately $2.0 million and $1.5 million, respectively, of unrecognized tax benefits, none of which would currently affect the Company's effective tax rate if recognized due to the Company's deferred tax

13. Income Taxes (Continued)

assets being fully offset by a valuation allowance. The Company does not believe there will be any material changes in its unrecognized tax positions over the next twelve months.

The activity related to unrecognized tax benefits was as follows (in thousands):

	Year Ended December 31	
	2011	2010
Balance at the beginning of the year	$ 1,525	$ 1,254
Additions based on tax positions related to current year	447	273
Additions for tax positions of prior years	3	—
Reductions for tax positions of prior years	—	(2)
Settlements	—	—
Balance at the end of the year	$ 1,975	$ 1,525

If applicable, the Company would classify interest and penalties related to uncertain tax positions in income tax expense. Through December 31, 2011, there has been no interest expense or penalties related to unrecognized tax benefits. The tax years 2001 through 2010 remain open to examination by one or more major taxing jurisdictions to which the Company is subject. There are no income tax examinations currently in progress.